

A top-down view of a workspace. In the upper left, a portion of a silver laptop is visible, showing the keyboard and trackpad. To its right is a white ceramic cup filled with dark coffee, with a red handle. Below the cup is a white computer mouse. In the lower left, there is a dark brown leather-bound notebook and a pair of tortoiseshell-rimmed glasses. The entire scene is set against a dark, textured background.

Business & Stakeholders

IS 1110 BUSINESS FOUNDATION

Mrs. M.B. MUFITHA

Senior Lecturer

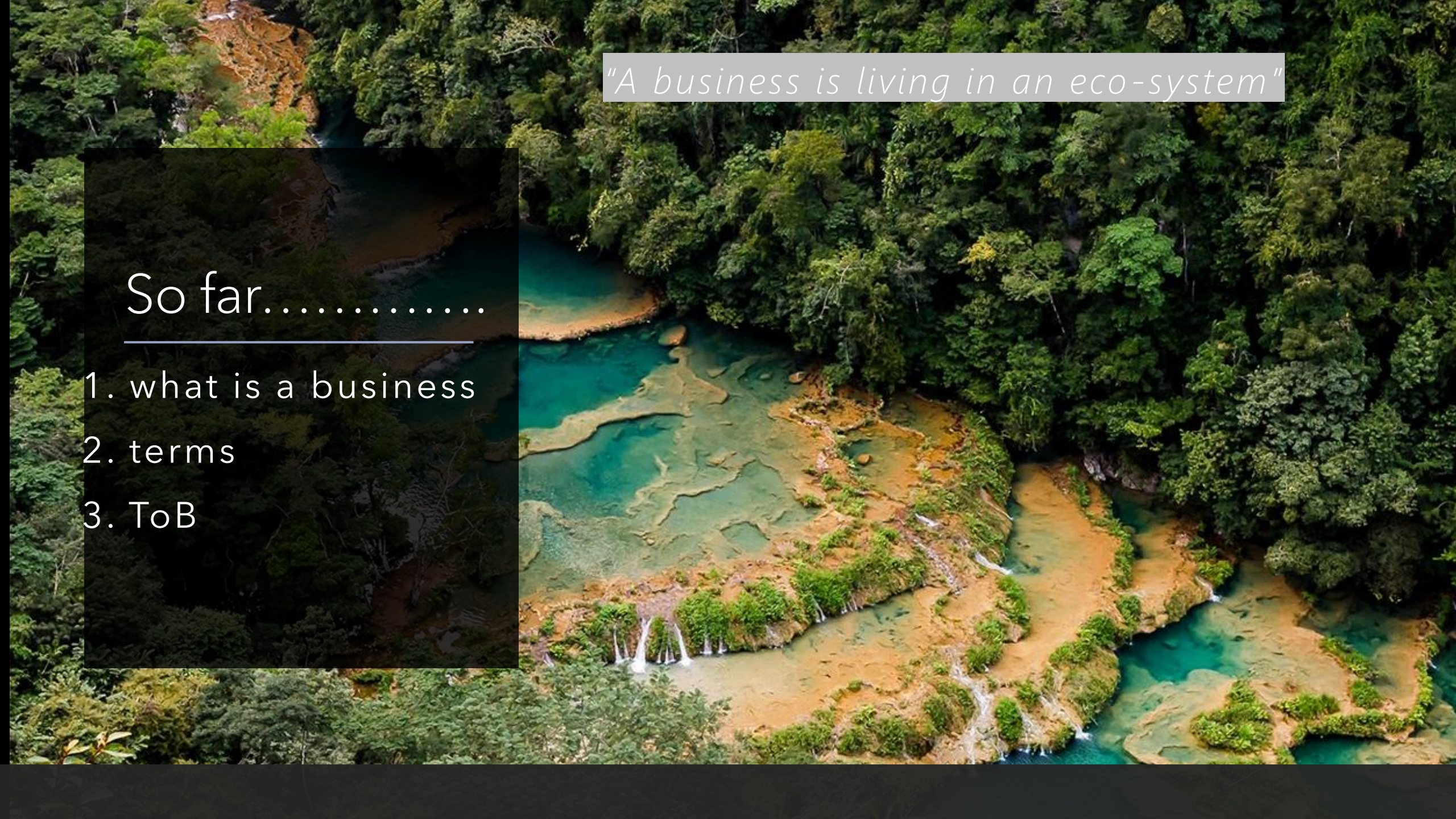
DEPARTMENT OF IDS

FACULTY OF IT

UNIVERSITY OF MORATUWA

Topic Coverage

- 1.1 Stakeholder Management Theory
- 1.2 Stakeholder Management Process
- 1.3 Stakeholder Management and Business Sustainability
- 1.4 Value Maximization and Stakeholder Theory
- 1.5 Technology and Stakeholder Management

An aerial photograph of a dense, lush green forest. A turquoise river flows through the center, surrounded by brownish-yellow earth and small, cascading waterfalls. The forest is thick with various shades of green foliage.

"A business is living in an eco-system"

So far.....

1. what is a business
2. terms
3. ToB

Any Example that comes to your mind?

A business that failed;

- due to a failure in creating a value to its customers
- due to a failure as employees are not happy (no value created for employees) : poor performance, high absenteeism, high turnover, no much creativity
- due to incompliance with law-regulations
- as suppliers did not put much efforts to the business
- as the business is not a good citizen of the society (no emphasis placed upon people's quality of life)
- as it could not create enough ROI to shareholders

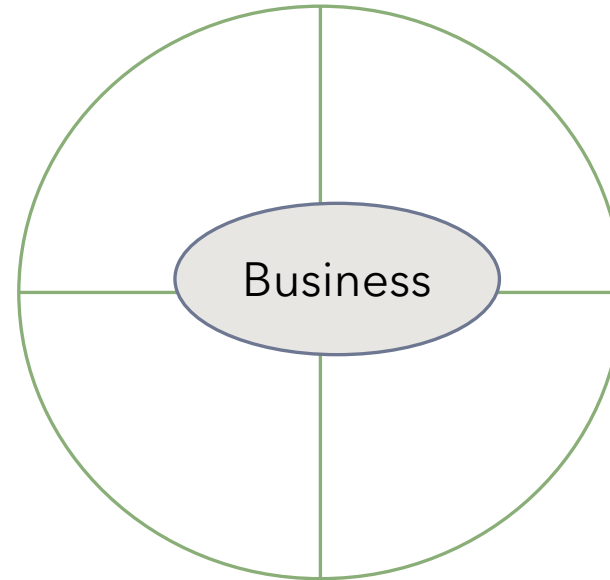
The Top 100 Software Companies of 2023

<https://www.thesoftwarereport.com>

Have you ever wondered?

Purpose-driven businesses are thriving

1. They have a "**Purpose**", not a goal/target
2. They have a "**Meaningful**" purpose
3. They have a meaningful purpose that **covers** "**Everyone**" in and around them



Who are these "Everyone" around a business?
Stakeholders

Three Flaws of Business World

1. Money is the purpose (profits)

By Prof. Edward Freeman

1. Money is the purpose (profits)

Are profits really bad?

No, **profits are the blood** of a business that keeps it alive. But taking profit as the end purpose will make business to **die soon**.

Entrepreneurs are on "FIRE"- fire of an idea, fire of innovations, fire of something that can make things better than how it was yesterday, etc.

Steve Jobs: "fire on **what a personal computer can do?**



(all these time companies only had computers not individuals)

John Mackey: "What if more **people eat healthy** "

(Organic, fresh food serving chain)



Three Flaws of Business World

2. Businesses and Ethics Contradict

By Prof. Edward Freeman

2. Businesses and Ethics Contradict

“Businesses can not make profits while being ethical”

“Ethics are all about theories but not for practicing”

Ethics is all about knowing how what we do affect each other

Ethics is all about how we live with each other

Businesses are living in the eco-system that we all have to share: so, businesses should know about how to live with others

Ethics is all about how to live with others

Three Flaws of Business World

3. People are not simple beings of self-interest

By Prof. Edward Freeman

3. People are not simple beings of self-interest

Businesses are also deeply human institutions

So, behave like a human

People (customers/consumers) are not complicated

Perceive business as a human which deals with human : customers, employees, competitors, society, etc.

What to be done?

1. Get the purpose right, profits will follow:

Businesses are about creating value to Stakeholders (not only for customers, not only for shareholders/owners) without a trade off

Business is all about creating value together

Together!!!! Who and who?

Bring value and ethics to the centre of the business or at least to the level equal to profits

2. See conflicts, challenges (may be the change of reality in business world) and critique as sources of value creation than avoiding

Let conflicts & challenges surface and serve as a source of value creation for the business

Customer complaints, Goods are returned, Employees are on strike, Supply chain is not efficient

It is not just about company only... Create a chain effect

- ▶ If you do the right thing for the customer, it's always the right thing for the company, financially

Justin King, Former CEO Sainsbury's



- ▶ "If we were only focused on making money, we might put all of our energy on just increasing ads to people in the U.S. and the other most developed countries, but that's not the only thing that we care about here."

Mark Zuckerberg, Facebook

facebook

Freeman

vs

Friedman

Shareholders vs Stakeholders



[Edward Freeman](#)'s stakeholder theory holds that a company's stakeholders include just about anyone affected by the company and its workings. He suggests that a company's stakeholders are "those groups without whose support the organization would cease to exist." These groups would include customers, employees, suppliers, political action groups, environmental groups, local communities, the media, financial institutions, governmental groups, and more. This view paints the corporate environment as an ecosystem of related groups, all of whom need to be considered and satisfied to keep the company healthy and successful in the long term.



Opposite/early viewpoint: shareholder theory proposed by economist [Milton Friedman](#) that in capitalism, the only stakeholders a company should care about are its shareholders - and thus, its bottom line. Friedman's view is that **companies are compelled to make a profit, to satisfy their shareholders, and to continue growth.**

Who are they?

Stakeholders

Activity:

Stakeholders of the University system
A mining business
KFC chicken - Worms

Individuals, organizations who has a stake in the success of a business

- Interested parties
- Affecting parties
- Influencing parties
- **"Any group or individual who can affect or is affected by the achievement of the firm's objectives/ purpose of a business".**

Edward Freeman

"All individuals in the business ecosystem"

Stakeholders

Stakeholder theory suggests: purpose of business is to create as much value as possible for stakeholders

To succeed and be sustainable over time, executives must keep interests of customers, suppliers, employees, communities and shareholders aligned and going in the same direction

"As the recent global financial crisis has taught us, the 21st Century is one of **"Managing for Stakeholders."** The task of executives is to create as much value as possible for stakeholders without resorting to **tradeoffs.**" (Edward Freeman)

"Great companies endure because they manage to get stakeholder interests aligned in the **same direction.**"
(Edward Freeman; American philosopher)

R. Edward Freeman



"Creating a healthy ecosystem with ethics, care and value for all stakeholders is needed for a business to truly **succeed in the long term. If it cuts corners with any of these stakeholders, it isn't going to work out over the long haul."**

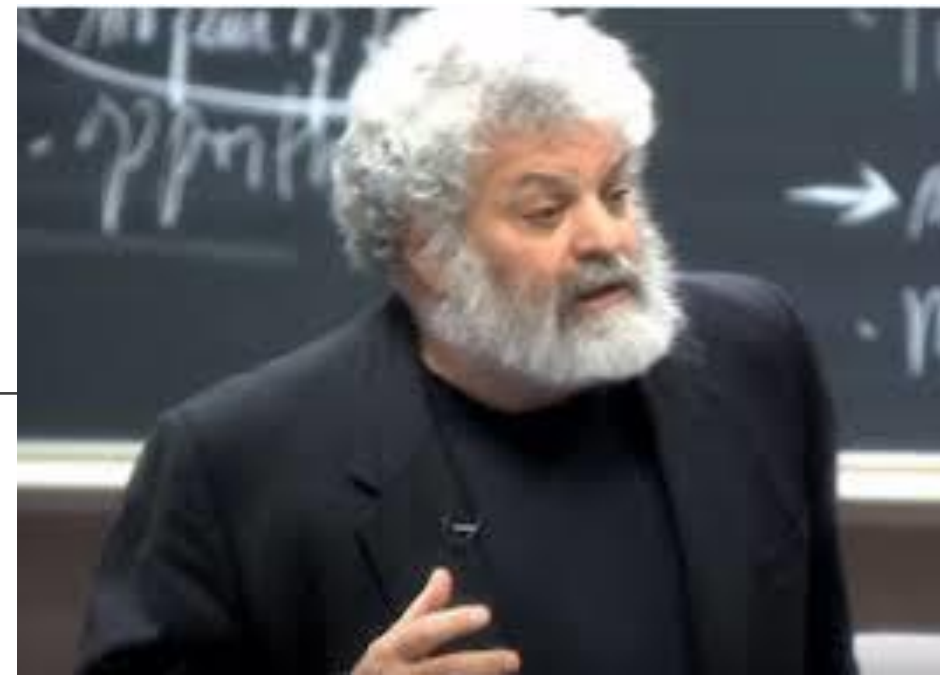
"The 21st Century is one of "Managing for Stakeholders." The task of executives is to create as much value as possible for stakeholders without resorting to tradeoffs. Great companies endure because they manage to get stakeholder interests aligned in the same direction."

Business is all about;

“Creating a value together”/ creating values to all its stakeholders”: The whole idea of stakeholder theory is that a business needs to understand that it or any connected party can not create value by its own, rather collectively only.

- ▶ So what? Need to understand that every stakeholder matters in creating a value and every stakeholder needs to receive a value
- ▶ What is meant by value in a business?
- ▶ How to create a value?

▶ **Business value generation and Stakeholders**



Prof. Edward Freeman

Approaches for taking stakeholders in to account

1. Use many stakeholders to serve fewer selected stakeholder

Ex: Employees and suppliers are treated well to create value for shareholders

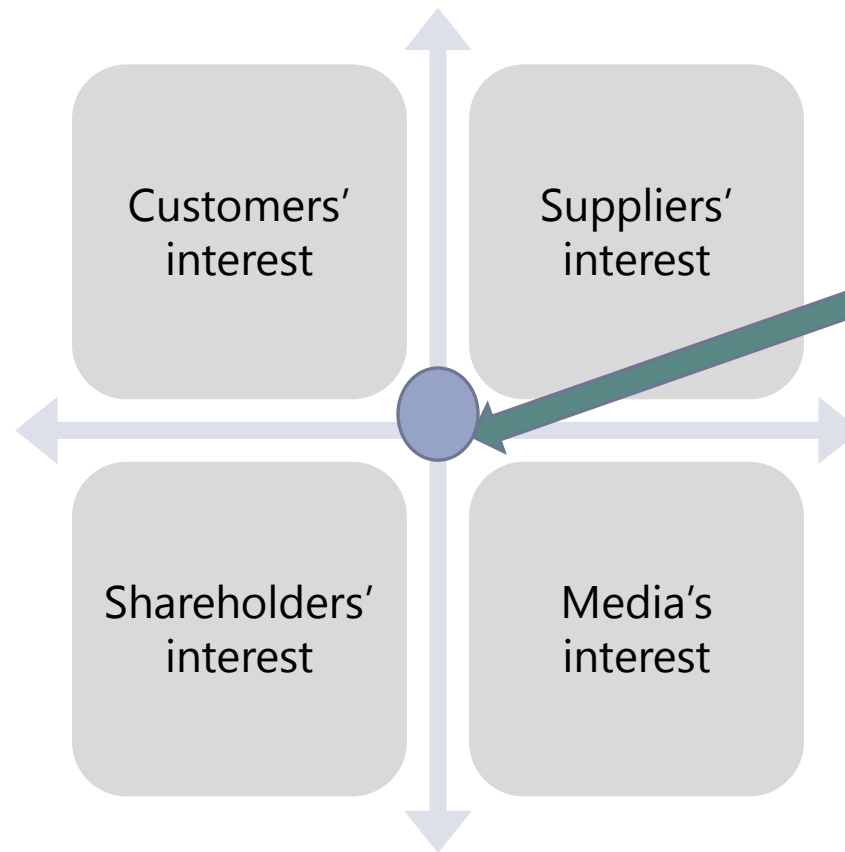
2. Create value for all stakeholders

Ex: all internal and external stakeholders are taken into consideration for value creation

3. Business is with a clear purpose, all stakeholders are around that

Ex: Let people eat healthy (WholeFoods) – Suppliers, Employees, Community, Shareholders, etc. all are around this purpose, the value is created automatically

Business Value Creation: Stakeholder Approach



Interception: core for all stakeholders' interest

Ex: Customers' interest: quality products, unique feature of products ---->

Translate it to Suppliers' interest

Translate it to Community's interest (Ex: Cargills' FC's agri products save farmers)

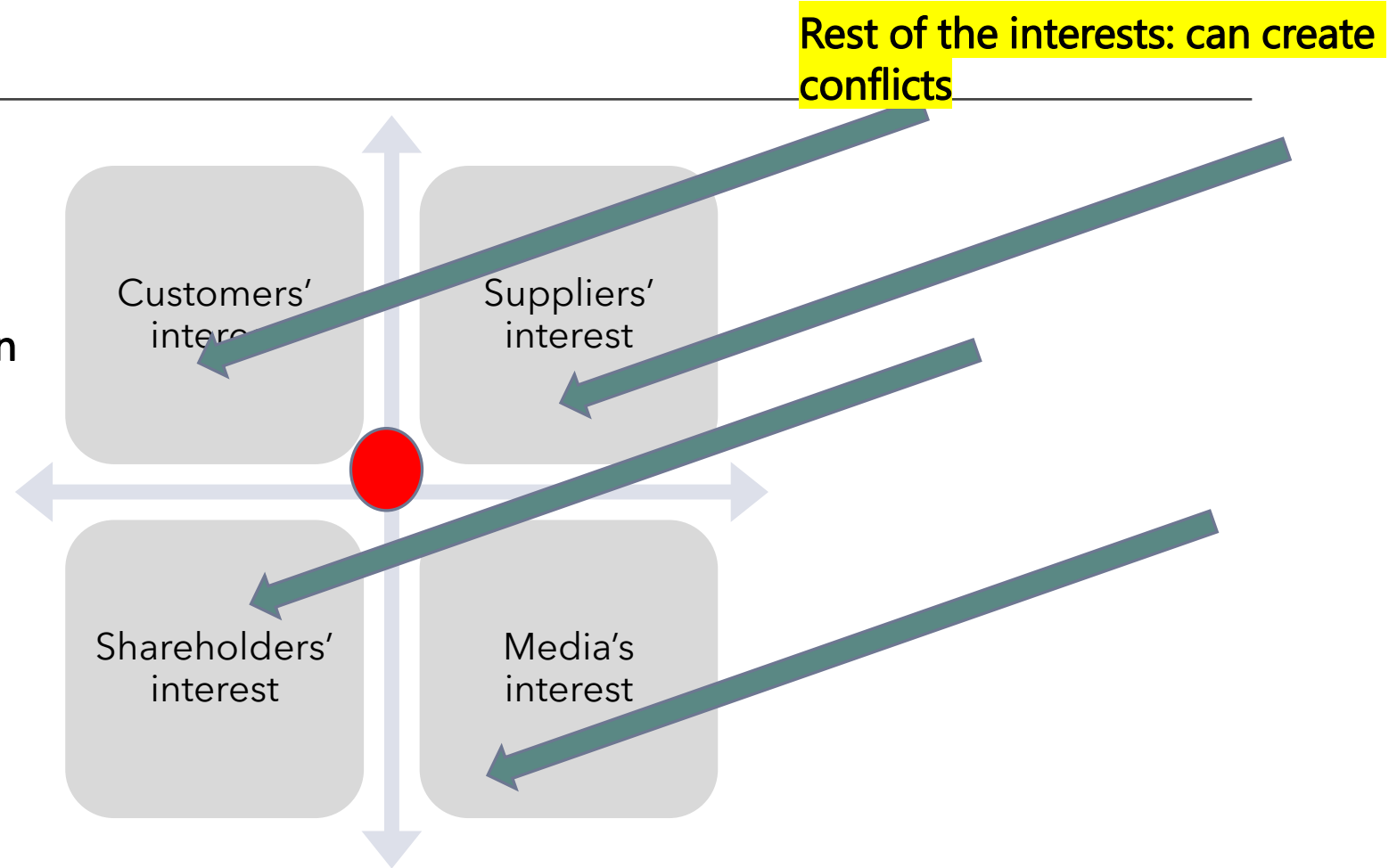
Translate it to Employee interest (Ex: employee creativity/contribution in R&D/employee empowerment)

Business Value Creation: Stakeholder Approach

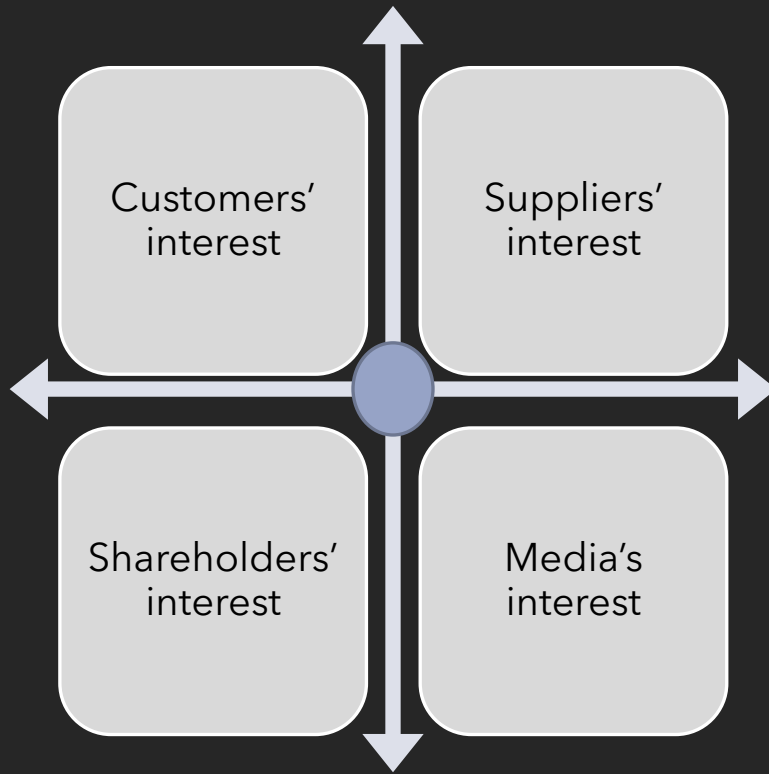
contd...

Managing Stakeholder interest;

1. Find interception (core interest for all stakeholders)
2. Align common interests to one direction
3. Rest of the interests DO NOT trade off
4. Find ways and means to make those too aligned in same direction



Managing Stakeholder interest;
As per Stakeholder Theory, Trade off is not
an option



Rest of the interests: can create conflicts

Ex: Chemical Companies

Inefficient engines release harmful gasses,
smoke ---> Environment concerns
Opportunity lies in -----> employee innovation
in creating an efficient engine which serves
both employee concerns and environment
concerns
What about the cost in creating an efficient
engine: Long term ROI

It's all about finding opportunities to create
value from the problems a business faces

Stakeholder Theory VS Shareholders (Freeman vs Friedman)

Companies must create value to shareholders

But not a trade-off

Shareholder is also a stakeholder

Trade-off will not create money to shareholders

Ex: Shareholders need money/ROI

Produce quality products → satisfy customer interest → generate more sales → create profits → then share higher Dividends to shareholders

Stakeholder Management

Steps

Managers are not just answerable to **shareholders**. In addition to shareholders or stockholders they also need to consider all stakeholders.

Stakeholder theory redraws the traditional input/output model of the firm to include;

Competitors, communities, customers, employees, financiers, political groups, suppliers, trade associations, trade unions, etc.

- ▶ Step 01: Get it right -Stakeholder Identification
- ▶ Step 02: Stakeholder Analysis
- ▶ Step 03: Stakeholder Planning
- ▶ Step 04: Stakeholder Engagement

01: Stakeholder Identification

All stakeholders can be categorized to;

1. Internal stakeholders
2. External stakeholders



Internal Stakeholders

Internal Stakeholders: groups or individuals work within a business

Importance:

1. perceived success of your business is often judged by the perceived satisfaction of internal stakeholders. (Heerkens, 2013)
2. Finding and engaging with internal stakeholders is crucial to making things happen
3. No company can implement the most impelling strategy without the involvement of its employees (Rivenburgh 2013)
4. "Highly engaged employees always go beyond mere compliance with organizational expectations. They strive to exceed expectations. So, need to engage with internal stakeholders" (Rivenburgh, 2013)

External Stakeholders

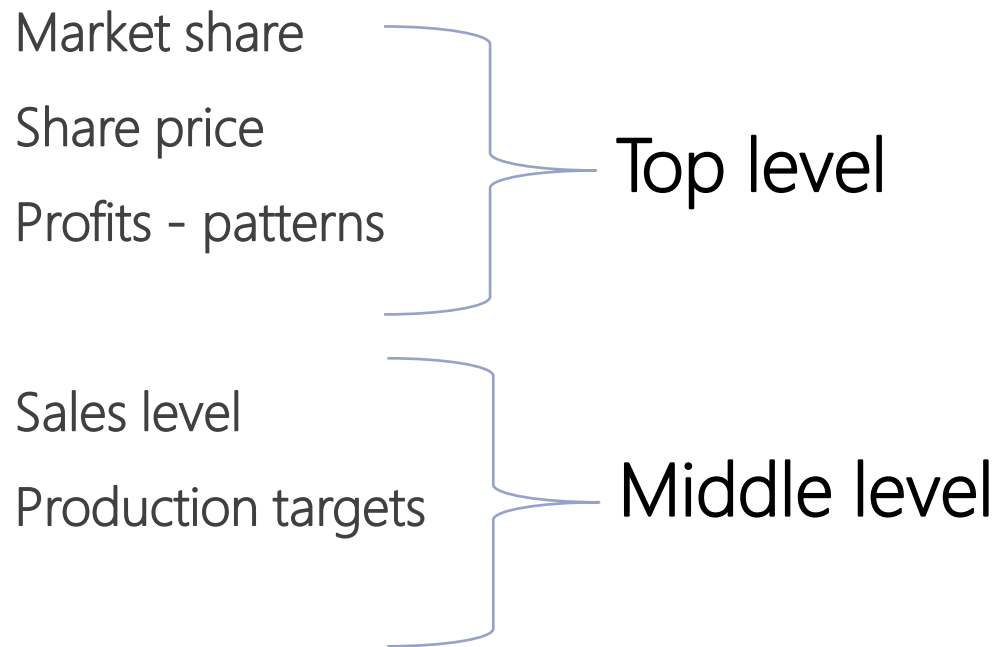
External stakeholders exercise the most influence on the long term success of a business, because external stakeholders will often be the end users/customers

Ex: customers, distributors, governments, suppliers, communities, laws and regulation



What do they interested / concerned of?

Managers & directors



Shareholders

Risk of investment

Financial goals

- Capital gain (increase in share price)
- Dividends

Competitors

Reduced market share

Imitate – Products , Strategies

Government and Authorities

VAT

Income tax

Custom duties

Tax on dividends

Ex: Sri Lanka Medical Council

National Science and Technology Commission

National Dangerous Drug Control Board

Human Rights Commission

Board of Investments

Employees and unions

Pay

Job security

Profit sharing schemes

Unpredictable union actions

Customers

Advanced, competitive flow of new offers

Greater choice

Low price

How to create loyal customers???

Can All Stakeholders be Satisfied?

Difficult but should

Can we create value for all stakeholders?

Yes

Satisfying vs Creating value for all stakeholders:

Extended payment period –
satisfying
Deliver products to match to pains –
Creating value

Ex: Loyal customer – extended payment period

Cash flow problems

Delayed payments to suppliers

Engaging with stakeholders is now serving as a **competitive advantage**

Goodwill is something you eat or others destroy and finish with the time; engaging and creating value for stakeholders is the **mechanism to renew it**

Why questions

Asking correct questions matter;

To identify all stakeholders

To categorize as internal and external

Can treat accordingly

Asking Correct Questions

1. Does the stakeholder have a fundamental impact on the business' performance?

(Required response: yes)

Example: A manufacturer of home appliances decided, on reflection, that a local council wasn't a key stakeholder. Though the council set regulations that the company had to follow, those rules didn't have much of an effect on sales or profits the way, for instance, customers did

Ex: Promising organic – Supply chain matters the most

2. Can you clearly identify what the business want from the stakeholder? (Required response: yes)

Example: Members of a law firm's strategic-planning team knew they wanted revenue from clients, productivity and innovation from employees, and continued funding from partners — yet they couldn't specify what they wanted from the community, so that relationship wasn't **deemed key**

3. Is the relationship dynamic — that is, do you want it to grow? (Required response: yes)

Example: A company's relationship with a university will be static and operationally focused. It involved a fixed amount of research funding and co-branding each year. That's all that was needed

4. Can you exist without or easily replace the stakeholder? (Required response: no)

Example: A professional HR services firm taken a loan from a bank and listed it as a stakeholder. The particular banker will not remain as a key stakeholder as loan can easily be refinanced with another source

5. Has the stakeholder already been identified through another relationship? (Required response: no)

Example: A government department involved in planning an infrastructure listed both employees and unions as key stakeholders. But this amounted to double counting: The unions represented employees' interests, and the organization's primary relationship was with its employees (employees will be represented by unions)

02: Stakeholder Analysis

Stakeholder Analysis is a systematic way to analyze stakeholders by their power and interest

High power, high interest -**Key Players**

Low power, low interest -least important

Differentiating Stakeholders

Differentiating between stakeholders depends on each businesses' value creation model:

Primary stakeholders and Secondary stakeholders

If **wrongly differentiated them**, it can harm the business as all the steps thereafter in Stakeholder Mgt Process depend on this classification

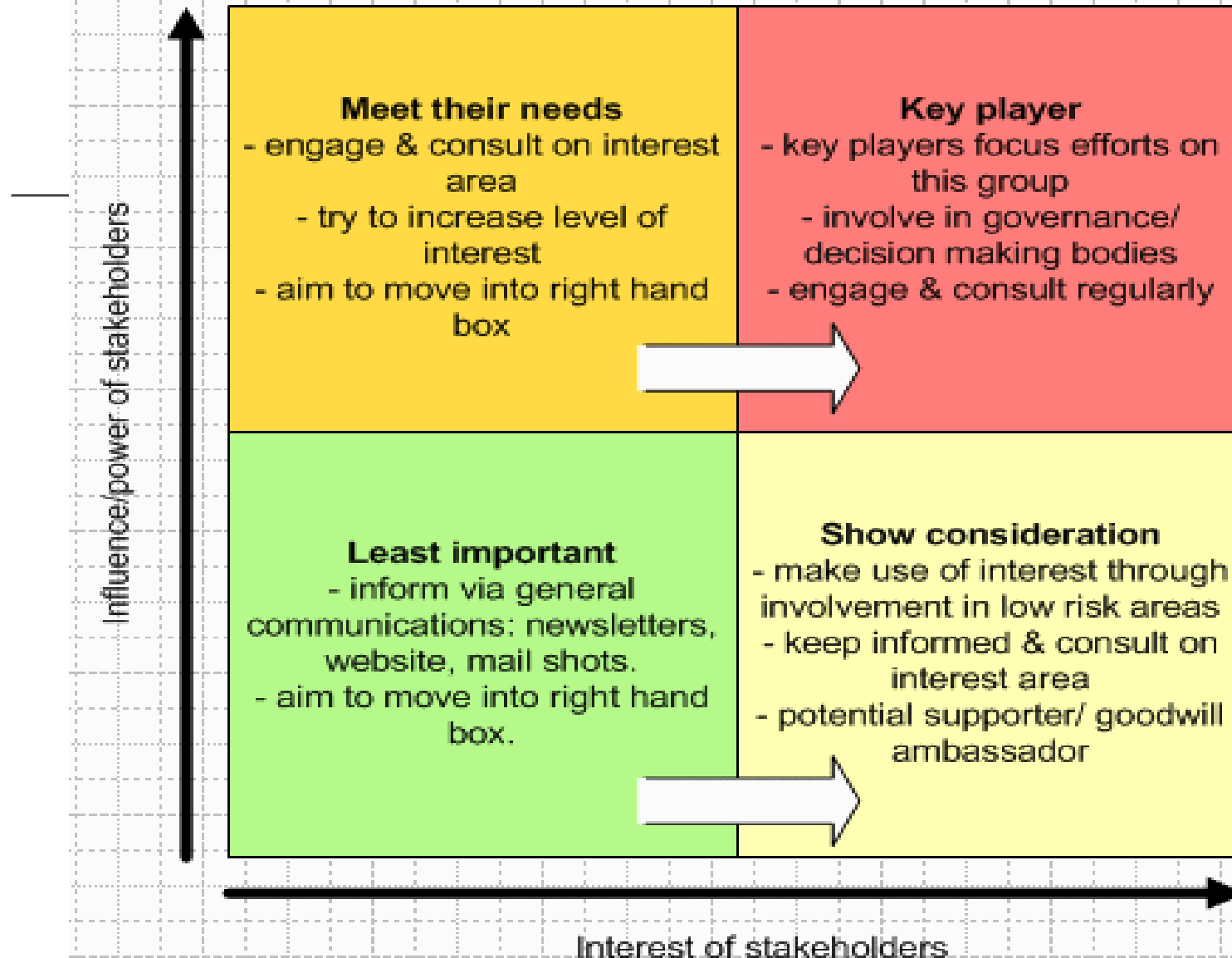
Ex: **Media**: they impact the social presence of the product

vs

they impact the economic impact of the product

if wrongly classified, high chance to miss the proper interaction

Power – Interest Grid



03: Stakeholder Planning

Identify the goals of each stakeholder

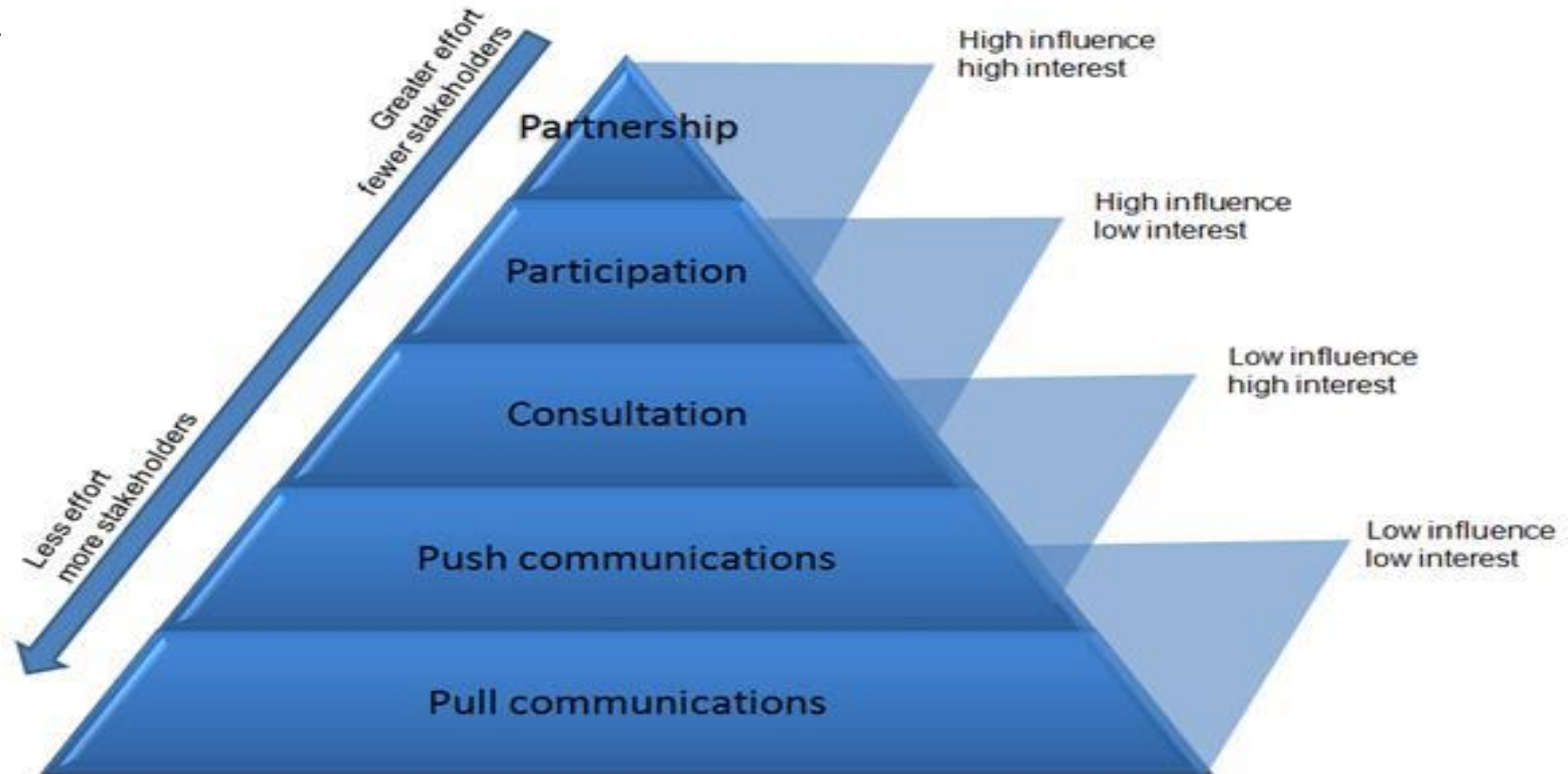
Decide on a win-win strategy

Ex: Signing on agreements, make them partners, keep updating (send newsletter)

Keep communicating with each stakeholder group

04: Stakeholder Engagement

Stakeholder engagement is the process used by businesses to engage with relevant stakeholders for a purpose to achieve accepted outcomes/to deliver them a value



Engagement approach	Description
Partnership	Shared accountability and responsibility. Two-way engagement with Joint learning, decision making and actions
Participation	Part of the team, engaged in delivering tasks or with responsibility for a particular area/activity. Two-way engagement within limits of responsibility
Consultation	Involved, but not responsible and not necessarily able to influence outside of consultation boundaries. Limited two-way engagement: organization asks questions, stakeholders answer.
Push communications	One-way engagement. Organization may <u>broadcast information</u> to all stakeholders or target particular stakeholder groups using various channels e.g. email, letter, webcasts, podcasts, videos, leaflets.
Pull communications	One-way engagement. Information is made available, and <u>stakeholders choose whether to engage with it</u> e.g. web-pages, or construction hoardings.

Is Stakeholder Theory only for Large Companies?

It applies even to Sole Proprietorship

However, at each stage of the business life cycle, different stakeholders will emerge and will become important one after the other/one at a time

The only difference is: large companies may survive for some times even if not managed stakeholders which is impossible with small firms— they need to do it on daily basis

Role of Business Leaders in Stakeholder Management

A business can not create value to stakeholders in isolation: All stakeholders' interests should go together

Role of the owner/manager is to look at as how this alignment is possible

The value creation process of each business/businesses in different regions vary; what important here is to capture all stakeholders, evaluate one by one, align them and strategically handle each so that a value is created for all by all

"Stakeholders are People" - People's Approach to Stakeholder Mgt

The moment a business starts to think that stakeholders are people, the way it approaches them/deliver value are different

Ex: Customers are people: The business does not provide goods and services, but deliver promises (Promise on its quality, satisfactions, convenience, specialty, etc.)

This approach allows a business to incorporate the human aspect to a business; thus,

- ethics are not a burden
- CSR is not a promotion activity
- employee wellbeing/empowerment is not a waste of money/not a zero ROI activity



Johnsons &
Johnsons

Technology and Stakeholder Management

CHALLENGES AND
OPPORTUNITIES

Data Analytics

Machine Learning

AI

Opportunities

What people like

What people want

How people are connected

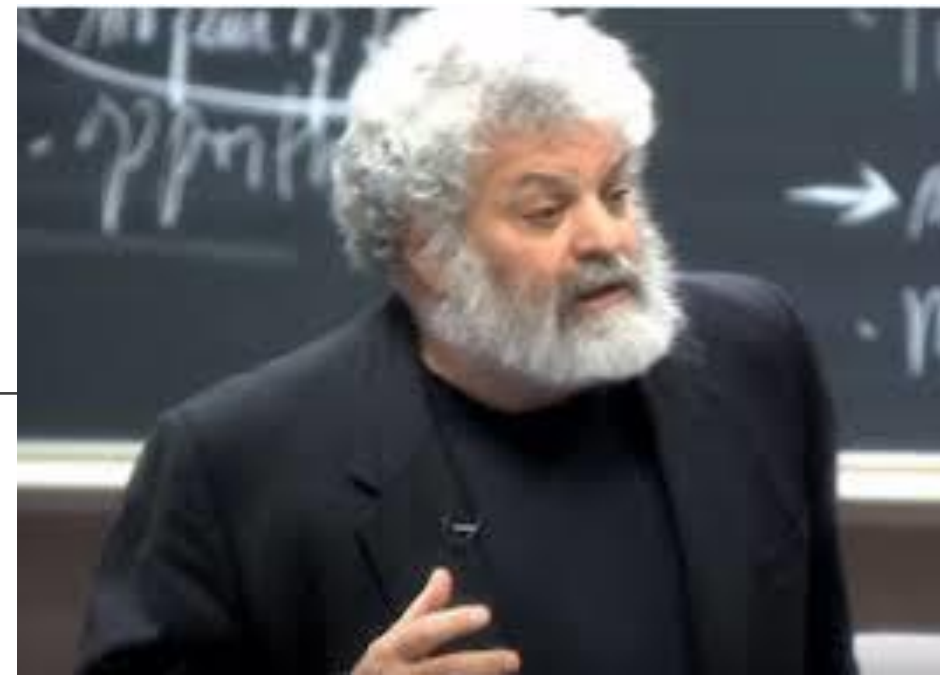
Technology and
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Prof. Edward Freeman



Value for customers only??

Misconceptions/ misunderstandings

No, it is all about creating meaningful value: value to all people that are part of the business ecosystem

Remember: Startups/ SMEs are the best way to take economies forward:
Individuals owning wealth

But those businesses should start with a **clear purpose** and a mechanism to **create value for all stakeholders**

"Stakeholder theory is all about NGO goals"

"Stakeholder theory talks about CSR projects"

"Stakeholder theory is about community projects to build company image"

"Stakeholder theory is a synonym for **social entrepreneurship**"

If the concept is well understood, a company would;

1. Perceives the business as a human entity

2. be conscious of every action it does by knowing those have impact on individuals

3. Measure total performance instead of profits

4. Re-visit/re-define accounting concepts (as primarily AC is targeted at investors alone)

5. Clearly differentiate between CSR and value creation for all stakeholders

A collection of
SMEs will boost
an economy

Diverse Backgrounds

Mastering in something that you love

Product design

Creating convenience

Allow people to get connected

.....

.....

Businesses are to "Change the world" -

That change can be even "doing something better than
yesterday"



Stakeholder Theory: Summary

To be a successful business, it needs to create value to ALL its stakeholders

A business can not select and ignore some stakeholders

Thus, need to align all stakeholders

For this: Stakeholder Management Process is used (identify, prioritize and treat/create value accordingly)

Home work;

You need to know following before-hand in order to understand stakeholder theory;

What it meant by value in business context

Why value creation is important for a business

How to create a value for a business

Enlightened
stakeholder theory

Stakeholder Theory and Business Value Maximization

Value creation for all stakeholders must be broken down to actions;

Ex: “a desire to build the world's best automobile or to create a movie or play that will affect humans for centuries

Stakeholder theory says: how to measure the success of a business

Business value maximization says: How to achieve that success

Defining what it means to score a goal in football or soccer, for example, tells the players nothing about how to win the game

Stakeholder Theory and Business Value Maximization

Value Scorecard

Business leaders must give employees and managers a structure that will help them resist the temptation to maximize the short-term financial performance (usually profits, or sometimes even more silly, earnings per share) of the business.

Create a Value Scorecard for the business:

Every time, employees are then checking the defined scorecard and held responsible

Random actions are then questioned

All will have to prove the value creation from their actions

Additional Reading

Value Maximization and Stakeholder Theory

<http://hbswk.hbs.edu/item/value-maximization-and-stakeholder-theory>